

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 733

BY REVENUE AND TAXATION COMMITTEE

AN ACT

RELATING TO TAXATION; AMENDING SECTION 63-3026B, IDAHO CODE, TO REVISE A PROVISION REGARDING THE TIME FOR THE FILING OF AN ELECTION AS AN AFFECTED BUSINESS ENTITY AND TO MAKE TECHNICAL CORRECTIONS; AMENDING SECTION 63-3068, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE PERIOD OF LIMITATIONS FOR ISSUING A NOTICE OF DEFICIENCY AND COLLECTION OF TAX; AMENDING SECTION 63-3069, IDAHO CODE, TO REVISE PROVISIONS REGARDING NOTICE OF ADJUSTMENT OF FEDERAL OR STATE TAX LIABILITY; AMENDING CHAPTER 30, TITLE 63, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 63-3070, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING PARTNERSHIP INCOME AND FEDERAL ADJUSTMENTS; AMENDING SECTION 63-3072, IDAHO CODE, TO REVISE PROVISIONS REGARDING CERTAIN TIME PERIODS FOR DETERMINATION OF CREDITS OR REFUNDS OF IDAHO INCOME TAXES; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 63-3026B, Idaho Code, be, and the same is hereby amended to read as follows:

63-3026B. AFFECTED BUSINESS ENTITIES -- STATE AND LOCAL TAXATION TREATMENT. (1) As used in this section:

(a) "Affected business entity" means any partnership or S corporation that elects to be subject to tax pursuant to this section.

(b) "Affected business entity income" means, in the case of an electing affected business entity, all items of income, gain, loss, or deduction derived from or connected with Idaho sources, except for that portion of such income, gain, loss, or deduction apportioned to an exempt entity that is a member of the affected business entity.

(c) "Exempt entity" means an entity that is exempt from taxation under this chapter.

(d) "Individual" means an individual, a trust, or an estate.

(e) "Member" means:

(i) A shareholder of an S corporation, except for exempt entities;

(ii) A partner in a general partnership, a limited partnership, or a limited liability partnership, except for exempt entities; or

(iii) A member of a limited liability company that is treated as a partnership or an S corporation for federal income tax purposes, except for exempt entities.

(f) "Partnership" has the meaning provided in section 63-3006B, Idaho Code. "Partnership" includes a limited liability company that is treated as a partnership for federal income tax purposes as described in section 63-3006A, Idaho Code.

(g) "S corporation" means a corporation or limited liability company that is treated as an S corporation for federal income tax purposes.

(h) "Taxable year" means the taxable year of a partnership or an S corporation for federal income tax purposes.

(2) (a) A partnership or an S corporation may elect in the manner set forth in this section to become an affected business entity required to pay the tax under this section in any taxable year. A separate election must be made for each taxable year.

(b) An election under this section must be made on a form and in the manner as the state tax commission prescribes by rule or instruction.

(c) An election under this section may be made for any taxable year by filing the election with a ~~timely-filed original~~ return for such taxable year. An election will also be valid if made by an amended return for the taxable year filed before the original due date of the fifteenth day of the fourth month following the taxable year.

(d) An election made under this section must be signed by:

(i) Each member of the electing entity who is a member at the time the election is filed; or

(ii) Any officer, manager, or member of the electing entity who is authorized under local law or by the entity's organizational documents to make the election and who represents under penalty of perjury that he has such authorization.

(e) An affected business entity is required to pay the tax imposed by section 63-3082, Idaho Code, for each member that is not an Idaho resident.

(3) Each affected business entity that is a partnership or an S corporation transacting business in this state shall, on or before the fifteenth day of the fourth month following the close of each taxable year, pay a tax in an amount determined as follows:

(a) Add all of the affected business entity income derived from or connected with sources within this state, as determined under the provisions of this chapter;

(b) Increase or decrease the sum from paragraph (a) of this subsection according to the modifications permitted or required under this chapter for computing Idaho taxable income, to the extent they are attributable to members subject to tax under this chapter;

(c) Multiply the result from paragraph (b) of this subsection by the tax rate applicable to corporations provided in section 63-3025, Idaho Code; and

(d) Apply any allowable credits earned by the affected business entity, adjusted by the recapture provisions of section 63-3029B, Idaho Code. All credits, including the allowable credits under this section from another affected business entity as adjusted for the recapture provisions of section 63-3029B, Idaho Code, shall flow through to the members as otherwise permitted under this chapter. Any unused credits that are allowed by law to be carried forward to succeeding taxable years may be claimed in succeeding taxable years for which the affected business entity elects to be subject to tax pursuant to this section. If the affected business entity does not make the election under this section in

1 any succeeding taxable year, the unused credits will flow through to the
2 members as otherwise permitted under this chapter.

3 (4) If the amount calculated under subsection (3) (b) of this section
4 results in a net operating loss, such net operating loss may not be passed
5 through to the members of the affected business entity that makes the elec-
6 tion under this section but may be carried forward to succeeding taxable
7 years for which the affected business entity elects to be subject to tax
8 pursuant to this section until fully used. If the affected business entity
9 does not make the election under this section in any succeeding taxable year,
10 the unused net operating loss will flow through to the members as otherwise
11 permitted under this chapter.

12 (5) A nonresident individual who is a member is not required to file an
13 income tax return under section 63-3030, Idaho Code, for any taxable year in
14 which the only source of income derived from or connected with sources within
15 this state for such member, or the member and the member's spouse if a joint
16 federal income tax return is or shall be filed, is from one (1) or more af-
17 fected business entities and such affected business entity or entities file
18 and pay the tax due under this section.

19 (6) Each partnership and S corporation shall report to each of its mem-
20 bers, for each taxable year, such member's pro rata share of the tax imposed
21 under this section on such partnership or S corporation if it is an affected
22 business entity. Such pro rata share of the tax shall be calculated by ex-
23 cluding the share of any member that is an exempt entity.

24 (7) (a) Each individual who is a member and is not an exempt entity is
25 entitled to a credit against such tax. The credit will be in an amount
26 equal to the individual's pro rata share of the tax paid under this
27 section by any affected business entity of which the individual is a
28 member. If the amount of the credit allowed pursuant to this paragraph
29 exceeds the individual's tax liability for the tax imposed under this
30 chapter, the individual will be paid a refund equal to the balance of the
31 unused credit. Such pro rata share of the tax credit shall be calculated
32 by excluding the share of any member that is an exempt entity.

33 (b) Each individual who is a member and is not an exempt entity, as a
34 resident or a part-year resident of this state, is entitled to a credit
35 against such tax for the individual's pro rata share of taxes paid to an-
36 other state of the United States or the District of Columbia on income
37 of any partnership or S corporation of which the individual is a mem-
38 ber that is derived therefrom. Any such credit will be calculated in the
39 manner prescribed by the state tax commission and shall be consistent
40 with the provisions of section 63-3029, Idaho Code. Such pro rata share
41 of the tax credit shall be calculated by excluding the share of any mem-
42 ber that is an exempt entity.

43 (8) Each corporation that is a member and is subject to the tax im-
44 posed under section 63-3025 or 63-3025A, Idaho Code, is entitled to a credit
45 against such tax. The credit will be in an amount equal to the corporation's
46 pro rata share of the tax paid under this section by any affected business
47 entity of which the corporation is a member. Such credit will be applied
48 after all other applicable credits have been applied. Any balance of the
49 credit not used in the taxable year during which the corporation reports the
50 net income from such affected business entities will be paid as a refund to

1 the corporation. Such pro rata share of the tax credit shall be calculated by
2 excluding the share of any member that is an exempt entity.

3 (9) Each affected business entity that is a member of another affected
4 business entity and elects to be subject to the tax imposed under this sec-
5 tion is entitled to a credit against such tax. The credit will be in an amount
6 equal to the affected business entity's pro rata share of the tax paid under
7 this section by any affected business entity of which the affected business
8 entity is a member. Such credit will be applied after all other applicable
9 credits have been applied. Any balance of the credit not used in the tax-
10 able year during which the affected business entity reports net income will
11 be paid as a refund to the affected business entity. Such pro rata share of
12 the tax credit shall be calculated by excluding the share of any member that
13 is an exempt entity.

14 (10) Each pass-through entity, as defined in section 63-3006C, Idaho
15 Code, that is a member of an affected business entity and does not elect to
16 be subject to the tax imposed under this section is entitled to a credit.
17 The credit will be in an amount equal to the pass-through entity's pro rata
18 share of the tax paid under this section by any affected business entity of
19 which the pass-through entity is a member. Such credit will be applied af-
20 ter all other applicable taxes and credits have been applied. Any balance
21 of the credit not used in the taxable year will be paid as a refund to the
22 pass-through entity.

23 (11) For trusts and estates that distribute their income to their bene-
24 ficiaries to be reported by and taxed to said beneficiaries, the credit pro-
25 vided in subsection (7) (a) of this section shall be apportioned between the
26 trust or estate and the beneficiaries in the same proportion as the income is
27 allocated to and reported by the trust or estate and the beneficiaries.

28 (12) ~~The penalty and interest and penalty~~ provisions and the collection
29 and enforcement procedures provided by sections 63-3038 through 63-3040,
30 63-3042 through 63-3065A, 63-3071, 63-3075, and 63-3078, Idaho Code, shall
31 apply and be available to the state tax commission for enforcement of the
32 provisions of this section and collection of any amounts due under this
33 section. Said sections shall, for this purpose, be considered part of this
34 section, and wherever liens or any other proceedings are defined as income
35 tax liens or proceedings, they shall, when applied in enforcement or collec-
36 tion under this section, be described as affected business entity tax liens
37 and proceedings.

38 SECTION 2. That Section 63-3068, Idaho Code, be, and the same is hereby
39 amended to read as follows:

40 63-3068. PERIOD OF LIMITATIONS FOR ISSUING A NOTICE OF DEFICIENCY AND
41 COLLECTION OF TAX. (a) Except as otherwise provided in this section, a notice
42 of deficiency, as provided in section 63-3045, Idaho Code, for the tax im-
43 posed in this chapter shall be issued within three (3) years from either the
44 due date of the return, without regard to extensions, or from the date the re-
45 turn was filed, whichever is later.

46 (b) If an assessment has been made as provided in this chapter, then
47 such tax shall be collected either by levy, or by a proceeding brought in
48 court, within a period of twelve (12) years from the date of entry of the
49 record of assessment required by section 63-3045A, Idaho Code, of the tax and

provided, further, that this shall not be in derogation of any of the remedies elsewhere provided in this chapter.

(c) In the case of a fraudulent return or a false return with the intent to evade the tax imposed in this chapter, or a willful attempt in any manner to defeat or evade the tax imposed in this chapter, a notice of deficiency may be issued, the tax may be assessed, or a proceeding in court for collection of such tax may be begun without assessment, at any time.

(d) In the case of a failure to file a return, for any reason, a notice of deficiency may be issued, the tax imposed in this chapter may be assessed, or a proceeding in court for collection of such tax may be begun without assessment, at any time, unless the taxpayer had a reasonable belief that no return was required to be filed under this chapter, in which case any deficiency, assessment, or proceeding for collection of such tax shall be commenced within three (3) years of the time the return was due.

(e) In the case of income received during the lifetime of a decedent, or by his estate during the period of administration, a notice of deficiency shall be issued, a claim shall be made, the tax shall be assessed or any proceeding in court without assessment for the collection of such tax shall be begun, within twelve (12) months after written request for prompt action is filed with the state tax commission by the executor, administrator, or other fiduciary representing the estate of such decedent. This subsection shall not apply if the return for which the request for prompt action relates has not been filed with the state tax commission.

(f) When Idaho taxable income or tax credits for any taxable year have been adjusted as a result of a final federal ~~determination~~ adjustment, the period of limitation for issuing a notice of deficiency shall be reopened and shall not expire until the later of one (1) year from ~~the date of delivery of the final federal determination to the state tax commission by the taxpayer, date,~~ three (3) years from the due date of the return, without regard to extensions, or three (3) years from the date the return was filed. For purposes of this ~~subsection~~ section the term "final federal ~~determination~~ adjustment" shall ~~mean the final resolution of all issues which were adjusted by the internal revenue service~~ shall have the same meaning as that term is defined in section 63-3070(2)(i), Idaho Code, and "final ~~determination~~ date" shall have the same meaning as that term is defined in section 63-3070(2)(h), Idaho Code. When the final federal ~~determination~~ adjustment is submitted, the taxpayer shall also submit copies of all schedules and written explanations provided by the internal revenue service. Upon the expiration of the period of limitations as provided in subsections (a) and (m) of this section, only those specific items of income, deductions, gains, losses, or credits which were adjusted in the final federal ~~determination~~ adjustment shall be subject to adjustment for purposes of recomputing Idaho income, deductions, gains, losses, credits, and the effect of such adjustments on Idaho allocations and apportionments.

(g) If an adjustment, which was made within the period of limitations as provided in this section, affects the amount of tax credit, net operating loss, or capital loss, claimed in a taxable year other than the tax year in which the adjustment is made, then adjustments to the credit, net operating loss, or capital loss claimed in such other tax year may be made and a result-

ing notice of deficiency may be issued even though such notice of deficiency would otherwise be barred under the provisions of this section.

(h) Notwithstanding any other provisions of this section, when an amended Idaho return is filed within the period of limitations as provided in subsections (a) and (m) of this section, the period of limitations for issuing a notice of deficiency shall be three (3) years from the date the amended return was filed. However, upon the expiration of the period of limitations as provided in subsections (a) and (m) of this section, only those specific items of income, deductions, gains, losses, or credits, which were adjusted in the amended Idaho return shall be subject to adjustment for purposes of recomputing Idaho income, deductions, gains, losses, credits, and the effect of such adjustments on Idaho allocations and apportionments.

(i) If a taxpayer has filed an amended federal return, and no corresponding Idaho amended return has been filed with the state tax commission, then the period of limitations for issuing a notice of deficiency shall be reopened and shall not expire until three (3) years from the date of delivery to the tax commission by the taxpayer of the amended federal return. However, upon the expiration of the period of limitations as provided in subsections (a) and (m) of this section, then only those specific items of income, deductions, gains, losses, or credits, which were adjusted in the amended federal return shall be subject to adjustment for purposes of recomputing Idaho income, deductions, gains, losses, credits, and the effect of such adjustments on Idaho allocations and apportionments.

(j) Notwithstanding any other provisions of this section, a notice of deficiency, related to items on the return of any pass-through entity, as defined in this section, which other taxpayers are required by law to report, shall be issued to such other taxpayers within the later of three (3) years from the due date of the other taxpayers' return, without regard to extensions, three (3) years from the date the other taxpayers' returns were filed, or three (3) years from the date of filing of the pass-through entity's return. If the pass-through entity files an amended return, notices of deficiency may be issued to the other taxpayers within three (3) years from the date the amended return for the pass-through entity was filed with the state tax commission. If the pass-through entity files an amended return with the internal revenue service, or the internal revenue service issues a final determination to the pass-through entity, then the period of limitations for issuing a notice of deficiency to the other taxpayers shall be reopened and shall not expire until three (3) years from the date of delivery to the tax commission by the pass-through entity of the amended federal return or the later of one (1) year from the date of delivery to the state tax commission by the pass-through entity of the final federal ~~determination~~ adjustment, three (3) years from the due date of the pass-through entity's return, without regard to extensions, or three (3) years from the date the pass-through entity's return was filed.

(k) For purposes of this section, "pass-through entity" means a partnership, S corporation, trust, limited liability company or any other entity whose items of income, deductions, gains, losses and credits must be reported by other taxpayer(s). For further purposes of this section, the term "other taxpayer" shall include, by way of unlimiting example, such taxpayers as partners, shareholders, beneficiaries, joint venturers or investors.

(l) In the case of a duplicate return filed under section 63-217(1) (b), Idaho Code, the limitation under this section shall be the later of one (1) year from the filing of the duplicate return or the date otherwise applicable under this section.

(m) Prior to the expiration of the time prescribed in this section for the issuance of a notice of deficiency for the tax imposed in this chapter, both the state tax commission, its delegate or deputy, and the taxpayer may consent in writing to extend the period of time within which a notice of deficiency may be issued. The period so agreed upon may be extended by subsequent agreements in writing made before the expiration of the period previously agreed upon. When a pass-through entity extends the period of limitations in accordance with this subsection, the period of limitations for the other taxpayers is automatically extended for the same period for the purpose of issuing a notice of deficiency to the other taxpayers reflecting the adjustments to the pass-through entity's return.

(n) The expiration of the period of limitations as provided in this section shall be suspended for the time period during which the state tax commission is prohibited from issuing a notice of deficiency, making the assessment, or from collecting by levy or a proceeding in court, and for thirty (30) days thereafter.

(o) For the purposes of this section, "return" includes a notice of deficiency determination issued by the state tax commission when no return was filed by the taxpayer. Such a return is deemed filed on the date the taxes determined by the state tax commission are assessed.

SECTION 3. That Section 63-3069, Idaho Code, be, and the same is hereby amended to read as follows:

63-3069. NOTICE OF ADJUSTMENT OF FEDERAL OR STATE TAX LIABILITY. (1) Upon final determination of any deficiency or refund of federal taxes, the taxpayer is required to send written notice to the state tax commission within ~~one hundred twenty (120)~~ one hundred eighty (180) days of the final determination date.

(2) Upon final determination of any deficiency or refund of income tax due to another state or territory to which the credit for taxes paid another state or territory applies, as provided in section 63-3029, Idaho Code, the taxpayer is required to send written notice to the state tax commission within ~~one hundred twenty (120)~~ one hundred eighty (180) days of the final determination date.

(3) If the notice required by this section is not sent by the taxpayer to the state tax commission within ~~one hundred twenty (120)~~ one hundred eighty (180) days of the final determination date, the taxpayer will be subject to the negligence penalty provided by section 63-3046, Idaho Code.

(4) As used in this section, "final determination date" has the same meaning as that term is defined in section 63-3070(2) (h), Idaho Code.

(5) A taxpayer subject to a federal audit is eligible to make estimated payments to the state tax commission in the same manner as provided in section 63-3070(6), Idaho Code.

1 SECTION 4. That Chapter 30, Title 63, Idaho Code, be, and the same is
 2 hereby amended by the addition thereto of a NEW SECTION, to be known and des-
 3 ignated as Section 63-3070, Idaho Code, and to read as follows:

4 63-3070. PARTNERSHIP INCOME -- FEDERAL ADJUSTMENTS. (1) The defini-
 5 tions set forth in this chapter shall apply to this section unless modified
 6 in this section or unless the context clearly requires another definition.

7 (2) As used in this section:

8 (a) "Administrative adjustment request" means a request for an admin-
 9 istrative adjustment filed by a partnership under section 6227 of the
 10 Internal Revenue Code.

11 (b) "Audited partnership" means a partnership subject to a partner-
 12 ship-level audit resulting in a federal adjustment.

13 (c) "Corporate partner" means a partner subject to tax under section
 14 63-3025 or 63-3025A, Idaho Code.

15 (d) "Direct partner" means a partner that holds an interest directly in
 16 a partnership or pass-through entity.

17 (e) "Exempt partner" means a partner that is exempt from taxation under
 18 this chapter except on unrelated business taxable income.

19 (f) "Federal adjustment" means a change to an item or amount determined
 20 by the Internal Revenue Code that is used by a taxpayer to compute Idaho
 21 state income tax owed, whether that change results from action by the
 22 internal revenue service, including a partnership-level audit, or from
 23 the filing of an amended federal return, a federal refund claim, or an
 24 administrative adjustment request by the taxpayer.

25 (g) "Federal partnership representative" means the person the partner-
 26 ship designates for the taxable year as the partnership's representa-
 27 tive or the person the internal revenue service has appointed to act as
 28 the federal partnership representative pursuant to section 6223(a) of
 29 the Internal Revenue Code.

30 (h) "Final determination date" means the following:

31 (i) Except as provided in subparagraphs (ii) and (iii) of this
 32 paragraph, if the federal adjustment arises from an internal rev-
 33 enue service audit or other action by the internal revenue ser-
 34 vice, the final determination date is the first day on which no
 35 federal adjustments arising from that audit or other action remain
 36 to be finally determined, whether by internal revenue service de-
 37 cision with respect to which all rights of appeal have been waived
 38 or exhausted, by agreement, or, if appealed or contested, by a fi-
 39 nal decision with respect to which all rights of appeal have been
 40 waived or exhausted. For agreements required to be signed by a
 41 representative of the internal revenue service and the taxpayer,
 42 the final determination date is the date on which the last party
 43 signed the agreement.

44 (ii) For federal adjustments arising from an internal revenue
 45 service audit or other action by the internal revenue service, if
 46 the taxpayer filed as a member of a combined report or consolidated
 47 return under Idaho law, the final determination date is the first
 48 day on which no related federal adjustments arising from such au-

dit remain to be finally determined, as described in subparagraph (i) of this paragraph for the entire group.

(iii) If the federal adjustment results from filing an amended federal return, a federal refund claim, or an administrative adjustment request, or if it is a federal adjustment reported on an amended federal return or other similar report filed pursuant to section 6225 (c) of the Internal Revenue Code, the final determination date is the day on which the amended return, refund claim, administrative adjustment request, or other similar report was filed.

(i) "Final federal adjustment" means a federal adjustment that can no longer be modified because the final determination date for that federal adjustment has passed.

(j) "Indirect partner" means a partner in a partnership or pass-through entity that itself holds an interest directly or through another indirect partner in a partnership or pass-through entity.

(k) "Nonresident partner" means an individual, trust, or estate partner that is not a resident partner.

(l) "Partner" means a person that holds an interest directly or indirectly in a partnership or other pass-through entity.

(m) "Partnership-level audit" means an examination by the internal revenue service at the partnership level pursuant to sections 6221 through 6241 of the Internal Revenue Code, as amended by P.L. 114-74 and as in effect on November 2, 2015, that results in federal adjustments.

(n) "Reallocation adjustment" means a federal adjustment resulting from a partnership-level audit or an administrative adjustment request that changes the share of one (1) or more items of partnership income, gain, loss, expense, or credit allocated to direct partners.

(o) "Report of federal adjustments" means the taxpayer's report of final federal adjustments to the Idaho state tax commission, including an amended Idaho income tax return, information return, or a uniform multistate report.

(p) "Resident partner" means an individual, trust, or estate partner that is a resident in Idaho under section 63-3013, Idaho Code, for the relevant tax period.

(q) "Reviewed year" means the taxable year of a partnership that is subject to a partnership-level audit from which federal adjustments arise.

(r) "Tiered partner" means any partner that is a partnership or pass-through entity.

(s) "Unrelated business taxable income" has the same meaning as provided in section 512(a) of the Internal Revenue Code.

(3) Unless an election has been made pursuant to section 63-3026B, Idaho Code, a taxpayer shall report and pay any Idaho tax due with respect to final federal adjustments arising from an audit or other action by the internal revenue service or reported by the taxpayer on a timely filed amended federal income tax return, including a return or other similar report filed pursuant to section 6225(c)(2) of the Internal Revenue Code, or a federal claim for refund, by filing a report of federal adjustments with the state tax commission for the reviewed year and, if applicable, paying the additional Idaho tax owed by the taxpayer no later than one hundred eighty

(180) days after the final determination date. This requirement shall not apply in the case of final federal adjustments required to be reported by a partnership and its partners using the procedures set forth in subsection (4) of this section and final federal adjustments required to be reported for federal purposes pursuant to section 6225(a) (2) of the Internal Revenue Code. If an election has been made pursuant to section 63-3026B, Idaho Code, the procedures and time frames set forth in this section shall apply to the electing partnership rather than the individual partners.

(4) Except for adjustments required to be reported for federal purposes pursuant to section 6225(a) (2) of the Internal Revenue Code and the distributive share of adjustments that has been reported as required under subsection (3) of this section, partnerships and partners shall report final federal adjustments arising from a partnership-level audit or an administrative adjustment request and make payments as follows:

(a) A state partnership representative shall act on behalf of the partnership as follows:

(i) With respect to an action required or permitted to be taken by a partnership under this subsection, and a proceeding under section 63-3048, Idaho Code, with respect to that action, the state partnership representative for the reviewed year shall have the sole authority to act on behalf of the partnership. The partnership's direct partners and indirect partners shall be bound by those actions.

(ii) The state partnership representative for the reviewed year is the partnership's federal partnership representative unless the partnership designates in writing another person as its state partnership representative.

(iii) The state tax commission may establish reasonable qualifications and procedures for designating a person other than the federal partnership representative to be the state partnership representative.

(b) Final federal adjustments subject to the requirements of this subsection, except for those subject to a properly made election pursuant to paragraph (c) of this subsection, shall be reported as follows:

(i) No later than ninety (90) days after the final determination date, the partnership shall:

1. File a completed report of federal adjustments, including information required by Idaho law, with the state tax commission;

2. Notify each of its direct partners of their distributive share of the final federal adjustments, including information required by the state tax commission; and

3. File an amended composite return for direct partners as required pursuant to section 63-3022L, Idaho Code, or an amended withholding return for direct partners as required pursuant to section 63-3035, Idaho Code, and pay the additional amount pursuant to sections 63-3024 and 63-3025, Idaho Code, that would have been due had the final federal adjustments been reported properly as required.

(ii) Except as provided under section 63-3025, Idaho Code, no later than one hundred eighty (180) days after the final determination date, each direct partner taxed pursuant to section 63-3025, Idaho Code, shall:

1. File a report of federal adjustments reporting its distributive share of the adjustments reported under subparagraph (i)2. of this paragraph, as required under section 63-3069, Idaho Code; and

2. Pay any additional amount of tax due as if the report of federal adjustments had been properly reported, plus any interest and penalty due under sections 63-3045, 63-3046, and 63-3075, Idaho Code, and less any credit for related amounts paid or withheld and remitted on behalf of the direct partner under subparagraph (i)3. of this paragraph.

(c) (i) Subject to the limitations provided in subparagraph (iii) of this paragraph, an audited partnership making an election under this paragraph shall, no later than ninety (90) days after the final determination date, file a completed report of federal adjustments, including the information required by section 63-3069, Idaho Code, and notify the state tax commission that it is making the election under this subsection.

(ii) Subject to the limitations provided in subparagraph (iii) of this paragraph, an audited partnership making an election under this paragraph shall, no later than one hundred eighty (180) days after the final determination date, pay, in lieu of taxes owed by its direct and indirect partners, an amount determined according to this subparagraph as follows:

1. Exclude from final federal adjustments the distributive share of these adjustments reported to a direct exempt partner not subject to tax under section 63-3025, Idaho Code;

2. For the total distributive shares of the remaining final federal adjustments reported to direct corporate partners subject to tax under section 63-3025, Idaho Code, and to direct exempt partners subject to tax under section 63-3025, Idaho Code, apportion and allocate such adjustments as provided in section 63-3027, Idaho Code, and multiply the resulting amount by the highest tax rate under section 63-3024, Idaho Code;

3. For the total distributive shares of the remaining final federal adjustments reported to nonresident direct partners subject to tax under section 63-3024, Idaho Code, determine the amount of the adjustments that is Idaho source income under section 63-3026A, Idaho Code, and multiply the resulting amount by the highest tax rate under section 63-3024, Idaho Code;

4. For the total distributive shares of the remaining final federal adjustments reported to tiered partners:

(A) Determine the amount of the adjustments of a type subject to sourcing to Idaho under section 63-3026A, Idaho Code, then determine the portion of this amount

that would be sourced to Idaho by applying rules promulgated by the state tax commission;

(B) Determine the amount of the adjustments of a type not subject to sourcing to Idaho by a nonresident partner under section 63-3026A, Idaho Code;

(C) Of the amount determined in subparagraph (ii) 4. (A) and (B) of this paragraph, determine the portion that, pursuant to rules promulgated by the state tax commission, is properly allocable to nonresident indirect partners or other partners not subject to tax on the adjustments or the portion that can be excluded under procedures for alternative reporting and payment method allowed under paragraph (e) of this subsection;

5. Multiply the total of the amounts determined in subparagraph (ii) 4. (A) and (B) of this paragraph reduced by the amount determined in subparagraph (ii) 4. (C) of this paragraph by the highest tax rate under section 63-3024, Idaho Code;

6. For the total distributive shares of the remaining final federal adjustments reported to resident direct partners subject to tax under section 63-3024, Idaho Code, multiply that amount by the highest tax rate under section 63-3024, Idaho Code; and

7. Add the amounts determined in subparagraph (ii) 2., 3., 5., and 6. of this paragraph, along with interest and penalty as provided in sections 63-3045, 63-3046, and 63-3075, Idaho Code.

(iii) Final federal adjustments subject to this election exclude:

1. The distributive share of final audit adjustments that under section 63-3027, Idaho Code, and rules promulgated by the state tax commission, must be included in the unitary business income of any direct or indirect corporate partner, provided it can be reasonably determined by the audited partnership; and

2. Any final federal adjustments resulting from an administrative adjustment request.

(iv) An audited partnership not otherwise subject to any reporting or payment obligation to the state of Idaho that makes an election under this subsection consents to be subject to Idaho laws relating to reporting, assessment, payment, and collection of Idaho tax calculated under the election.

(d) The direct and indirect partners of an audited partnership that are tiered partners, and all of the partners of those tiered partners that are subject to tax under sections 63-3024 and 63-3025, Idaho Code, are subject to the reporting and payment requirements of paragraph (b) of this subsection, and the tiered partners are entitled to make the elections provided in paragraphs (c) and (e) of this subsection. The tiered partners or their partners shall make the required reports and payments no later than ninety (90) days after the time for filing and furnishing

statements to tiered partners and their partners as established under section 6226 of the Internal Revenue Code and the federal regulations thereunder. The state tax commission may promulgate rules to establish procedures and interim time periods for the reports and payments required by tiered partners and their partners and for making the elections under this subsection.

(e) Under procedures adopted by the state tax commission, an audited partnership or tiered partner may enter into an agreement with the state tax commission to use an alternative reporting and payment method, including applicable time requirements or any other provision of this subsection, if the audited partnership or tiered partner demonstrates that the requested method will reasonably provide for the reporting and payment of taxes, penalties, and interest due under the provisions of this subsection. Application for approval of an alternative reporting and payment method must be made by the audited partnership or tiered partner within the time for election as provided in this paragraph or paragraph (c) of this subsection, as appropriate.

(f) (i) The election made pursuant to paragraph (c) or (e) of this subsection is irrevocable unless the state tax commission, in its discretion, determines otherwise.

(ii) If properly reported and paid by the audited partnership or tiered partner, or by a partnership that has filed an election under section 63-3026B, Idaho Code, the amount determined in paragraph (c) (ii) of this subsection, or similarly under an optional election under paragraph (e) of this subsection, will be treated as paid in lieu of taxes owed by its direct and indirect partners, to the extent applicable, on the same final federal adjustments. The direct partners or indirect partners may not take any deduction or credit for this amount or claim a refund of the amount in this state. Nothing in this paragraph precludes a direct resident partner from claiming a credit against taxes paid to this state pursuant to section 63-3029, Idaho Code, for any amounts paid by the audited partnership or tiered partner on the resident partner's behalf to another state or local tax jurisdiction in accordance with the provisions of section 63-3029, Idaho Code.

(g) Nothing in this section shall be construed to prevent the state tax commission from assessing direct partners or indirect partners for taxes they owe, using the best information available, in the event that a partnership or tiered partner fails for any reason to timely make any report or payment required by this section or by section 63-3026B, Idaho Code.

(5) The state tax commission shall make adjustments as needed for any additional tax, interest, and penalties arising from final federal adjustments arising from an audit by the internal revenue service, including a partnership-level audit, or reported by the taxpayer on an amended federal income tax return or as part of an administrative adjustment request by the dates provided in this subsection.

(a) If a taxpayer files with the state tax commission a report of federal adjustments or an amended Idaho tax return as required within the period specified in subsection (3) or (4) of this section, the state

1 tax commission may adjust any amounts, including in-lieu-of amounts,
2 taxes, interest, and penalties arising from those federal adjustments
3 if the state tax commission issues a notice of deficiency determination
4 to the taxpayer no later than:

5 (i) The expiration of the limitations period specified in section
6 63-3068 or 63-3072, Idaho Code; or

7 (ii) The expiration of the one (1) year period following the date
8 of the filing with the state tax commission of the report of fed-
9 eral adjustments.

10 (b) If the taxpayer fails to file the report of federal adjustments
11 within the period specified in subsection (3) or (4) of this section,
12 as appropriate, or the report of federal adjustments filed by the tax-
13 payer omits final federal adjustments or understates the correct amount
14 of tax owed, the state tax commission may assess amounts or additional
15 amounts, taxes, interest, and penalties arising from the report of fed-
16 eral adjustments if it mails a notice of deficiency determination to the
17 taxpayer by a date that is the latest of the following:

18 (i) The expiration of the limitations period specified in section
19 63-3068, Idaho Code;

20 (ii) The expiration of the one (1) year period following the date
21 the report of federal adjustments was filed with the state tax com-
22 mission; or

23 (iii) Absent fraud, the expiration of the six (6) year period fol-
24 lowing the final federal determination date.

25 (6) A taxpayer may make estimated payments to the state tax commission,
26 following the process prescribed by the state tax commission, of Idaho tax
27 expected to result from a pending internal revenue service audit prior to
28 the due date of the report of federal adjustments without having to file the
29 report with the state tax commission. The estimated tax payments shall be
30 credited against any tax liability ultimately found to be due to Idaho and
31 shall limit the accrual of further statutory interest on that amount. If the
32 estimated tax payments exceed the final tax liability and statutory inter-
33 est ultimately determined to be due, the taxpayer is entitled to a refund or
34 credit for the excess, provided the taxpayer files a report of federal ad-
35 justments claiming a refund or credit of tax pursuant to section 63-3072,
36 Idaho Code, no later than one (1) year following the final federal determi-
37 nation.

38 (7) (a) Except for final federal adjustments required to be reported for
39 federal purposes under section 6225(a) (2) of the Internal Revenue Code,
40 a taxpayer may file a claim for refund or credit of tax arising from fed-
41 eral adjustments made by the internal revenue service on or before the
42 later of:

43 (i) The expiration of the last day for filing a claim for refund
44 or credit of Idaho tax pursuant to section 63-3072, Idaho Code, in-
45 cluding any extensions; or

46 (ii) One (1) year from the date a report of federal adjustments
47 prescribed in subsection (3) or (4) of this section, as applica-
48 ble, was due to the state tax commission, including any extensions
49 pursuant to subsection (8) of this section.

(b) The report of federal adjustments shall serve as the means for the taxpayer to report additional tax due, report a claim for refund or credit of tax, and make other adjustments, including to its net operating losses, resulting from adjustments to the taxpayer's federal taxable income.

(8) (a) Unless otherwise agreed in writing by the taxpayer and the state tax commission, any adjustments by the state tax commission or by the taxpayer made after the expiration of the time period set forth in section 63-3068, Idaho Code, shall be limited to changes to the taxpayer's tax liability arising from federal adjustments.

(b) The time periods provided for in section 63-3069, Idaho Code, may be extended:

(i) Automatically, upon written notice to the state tax commission, by sixty (60) days for an audited partnership or tiered partner that has ten thousand (10,000) or more direct partners; or

(ii) By written agreement between the taxpayer and the state tax commission pursuant to section 63-3068(m), Idaho Code.

(c) Any extension granted under this subsection for filing the report of federal adjustments extends the last day prescribed by law for assessing any additional tax arising from the adjustments to federal taxable income and the period for filing a claim for refund or credit of taxes pursuant to section 63-3068, Idaho Code.

SECTION 5. That Section 63-3072, Idaho Code, be, and the same is hereby amended to read as follows:

63-3072. CREDITS AND REFUNDS. (a) Subject to the provisions of subsections (b), (c) and (h) of this section, where there has been an overpayment of the tax imposed by the provisions of this chapter, the amount of such overpayment shall be credited against any tax administered by the state tax commission which tax is then due from the taxpayer, and any balance of such excess shall be refunded to the taxpayer.

(b) Except in regard to amounts withheld as provided in section 63-3035, 63-3035A or 63-3036, Idaho Code, or amounts paid as estimated payments under section 63-3036A, Idaho Code, or amounts paid as backup withholding under section 63-3036B, Idaho Code, a claim for refund of tax, penalties, or interest paid shall be made within the later of three (3) years of the due date of the return, without regard to extensions, or three (3) years from the date the return was filed, and a claim for credit of tax, penalties, or interest paid shall be made within the later of ten (10) years of the due date of the return, without regard to extensions, or ten (10) years from the date the return was filed. However, with regard to remittances received with an extension of time to file, or a tentative return, a claim for credit or refund of such remittances shall be made within three (3) years from the due date of the return without regard to extensions.

(c) With regard to amounts withheld as provided in section 63-3035, 63-3035A or 63-3036, Idaho Code, or amounts paid as estimated payments under section 63-3036A, Idaho Code, or amounts paid as backup withholding under section 63-3036B, Idaho Code, a claim for refund shall be made within three (3) years from the due date of the return, without regard to extensions, for the taxable year in respect to which the tax was withheld or paid, and a

1 claim for credit shall be made within ten (10) years from the due date of the
 2 return, without regard to extensions, for the taxable year with respect to
 3 which the tax was withheld or paid. However, with regard to an individual
 4 who is entitled to an extension of time as provided in section 7508 of the
 5 Internal Revenue Code, the three (3) year period provided in this subsection
 6 for claiming a credit or refund shall be extended by the number of days disre-
 7 garded under section 7508 of the Internal Revenue Code.

8 (d) Notwithstanding any other provisions of this section, when Idaho
 9 taxable income and/or tax credits for any taxable year have been adjusted
 10 as a result of a final federal determination adjustment, the period of lim-
 11 itations for claiming a refund or credit of tax, penalties, or interest
 12 shall be reopened and shall not expire until the later of one (1) year from
 13 the ~~date of delivery of the final federal determination to the taxpayer by~~
 14 ~~the internal revenue service date~~, three (3) years from the due date of the
 15 return, without regard to extensions, or three (3) years from the date the
 16 return was filed. For purposes of this subsection, the term "final federal
 17 determination adjustment" shall ~~mean the final resolution of all issues~~
 18 ~~which were adjusted by the internal revenue service have the same meaning as~~
 19 ~~that term is defined in section 63-3070 (2) (i), Idaho Code, and "final deter-~~
 20 ~~mination rate" shall have the same meaning as that term is defined in section~~
 21 63-3070 (2) (h), Idaho Code. When the final federal determination adjustment
 22 is submitted, the taxpayer shall also submit copies of all schedules and
 23 written explanations provided by the internal revenue service. Upon the
 24 expiration of the period of limitations as provided in subsections (b) and
 25 (h) of this section, only those specific items of income, deductions, gains,
 26 losses or credits which were adjusted in the final federal determination
 27 adjustment shall be subject to adjustment for purposes of recomputing Idaho
 28 income, deductions, gains, losses, credits, and the effect of such adjust-
 29 ments on Idaho allocations and apportionments.

30 (e) If a claim for credit or refund relates to an overpayment attribut-
 31 able to a net operating loss carryback incurred in a taxable year commencing
 32 in 2012 or earlier, or a capital loss carryback, in lieu of the period of lim-
 33 itations prescribed in subsection (b) of this section, the period shall be
 34 that period which ends with the expiration of the fifteenth day of the for-
 35 tieth month following the end of the taxable year of the net operating loss
 36 or capital loss which results in such carryback. Claims for net operating
 37 losses carried back from taxable years commencing after 2012 shall be made
 38 pursuant to section 63-3022, Idaho Code.

39 (f) If an adjustment, which was made within the period of limitations
 40 as provided in this section, affects the amount of tax credit, net operating
 41 loss, or capital loss, claimed in a taxable year other than the tax year in
 42 which the adjustment is made, then adjustments to the credit, net operating
 43 loss, or capital loss, claimed in such other tax year may be made and a claim
 44 for credit or refund of tax, penalties or interest may be made even though
 45 such claim would otherwise be barred under the provisions of this section.

46 (g) In the case of a duplicate return filed under section 63-217(1) (b),
 47 Idaho Code, the limitations under this section shall be the later of one (1)
 48 year from the filing of the duplicate return or the date otherwise applicable
 49 under this section.

1 (h) Prior to the expiration of the time prescribed in this section for
2 credit or refund of any tax imposed by the provisions of this chapter, both
3 the state tax commission or its delegate or deputy and the taxpayer may con-
4 sent in writing to extend such period of time. The period so agreed upon may
5 be extended by subsequent agreements in writing made before the expiration
6 of the period previously agreed upon. When a pass-through entity extends the
7 period of limitations in accordance with the provisions of this subsection
8 the period of limitations for the other taxpayers is automatically extended
9 for the same period for the purpose of claiming a credit or refund of tax,
10 penalties or interest by the other taxpayers reflecting the pass-through en-
11 tity adjustments.

12 (i) The expiration of the period of limitations as provided in this sec-
13 tion shall be suspended for the time period between the issuance by the state
14 tax commission of a notice under either section 63-3045 or 63-3065, Idaho
15 Code, and the final resolution of any proceeding resulting from the notice.

16 (j) Appeal of a state tax commission decision denying in whole or in
17 part a claim for credit or refund shall be made in accordance with and within
18 the time limits prescribed in section 63-3049, Idaho Code.

19 (k) For purposes of this section, "return" includes a notice of defi-
20 ciency determination issued by the state tax commission when no return was
21 filed by the taxpayer. Such a return is deemed filed on the date the taxes de-
22 termined by the state tax commission are assessed.

23 SECTION 6. An emergency existing therefor, which emergency is hereby
24 declared to exist, this act shall be in full force and effect on and after
25 July 1, 2026.